

For those who are not satisfied by hypothetical scenarios with perfectly cyclical returns, Figures 6.3 and 6.4 illustrate examples that are more realistic or that resemble real-world conditions. In Figure 6.3, two hypothetical funds, Fund A and Fund B, follow a seemingly identical “buy and hold” strategy. Both have a starting balance of \$100,000 and both earn an identical mean return of 10.4% with the same volatility or standard deviation of 14.6%. Notice that after 20 years, in the absence of any withdrawals or deposits, the ending value for both accounts is \$658,000. Again, returns order in this case has absolutely no relevance.

	Fund A	Balance	Fund B	Balance
1985	-18.39%		17.56%	
1986	-4.59%		8.72%	
1987	-19.14%		-3.35%	
1988	18.47%		20.08%	
1989	14.30%		19.62%	
1990	6.79%		-13.64%	
1991	14.59%		17.68%	
1992	-15.40%		11.11%	
1993	8.95%		16.39%	
1994	16.57%		-9.11%	
1995	33.60%		-9.76%	
1996	16.21%		12.62%	
1997	19.52%		-16.38%	
1998	20.72%		7.72%	
1999	21.03%		36.73%	
2000	-1.61%		27.59%	
2001	21.22%		12.80%	
2002	13.92%		20.75%	
2003	5.26%		14.99%	
2004	19.61%		28.95%	
2005	26.57%	\$658,000	-3.74%	\$658,000
Arithmetic Mean:	10.4%		10.4%	
Standard Deviation:	14.6%		14.6%	

Figure 6.3 Completely different histories, same exact outcome.

Source: Moshe Milevsky and the IFID Centre, 2008.